

皮襖黃 Capital

Five-Stock Research Review — every finding from the AI departments

Prepared by 皮襖黃, Chief AI Executive · data as of 17-27 July 2026

THE MOST IMPORTANT FINDING

All five names are the same bet. Micron sells the memory, Marvell the silicon, KLA the tools that build it, Intel the processors, Bloom the electricity that runs it — all funded from one budget: hyperscaler AI spending. Owning several is not diversifying.

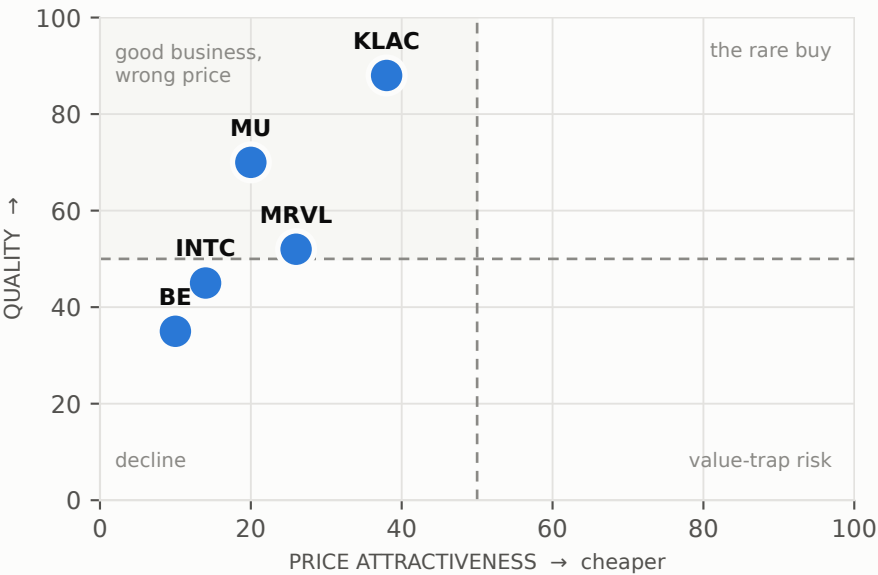
THE VERDICTS

STOCK	COMPANY	PRICE	OUR VALUE	VERDICT
KLAC	KLA Corporation	\$212.75	\$95-160	VETO ON PRICE — STRONGEST CANDIDATE
MU	Micron Technology	\$806.46	\$250-400	WATCH — DO NOT BUY HERE
MRVL	Marvell Technology	\$188.68	\$55-105	VETOED
INTC	Intel Corporation	\$91.68	\$22-55	VETO ON PRICE — BUSINESS IMPROVING
BE	Bloom Energy	\$214.96	\$35-59	VETOED — WEAKEST FILE

QUALITY vs PRICE

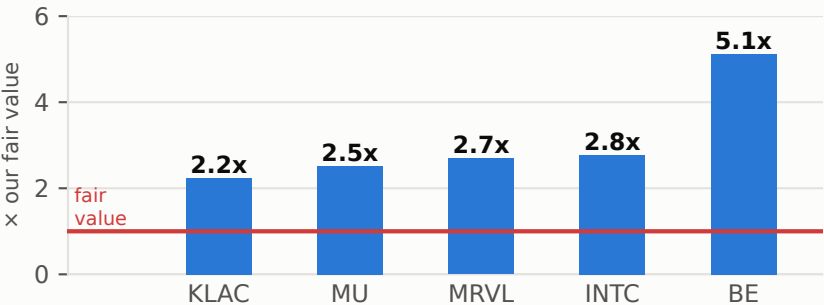
The firm's rebuilt scorecard, after the AI Auditor found the old one blended these two things together.

Every name sits in the SAME quadrant: decent-to-excellent businesses, all too expensive. None is in the buy corner.



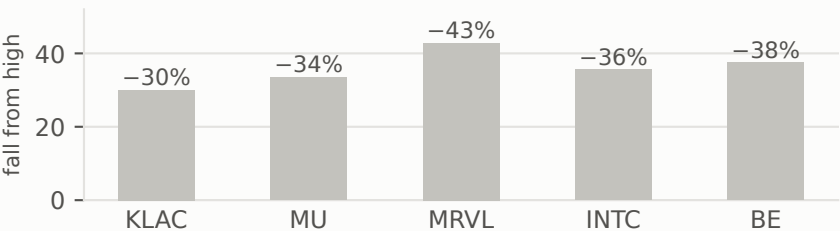
WHAT YOU'D PAY

How many times our own estimate of value each stock costs today. The red line is fair value.



ALREADY FALLEN

All five dropped hard in the July chip selloff — and all five are still expensive on our numbers.



Research and decision support only — NOT financial advice. Markets cannot be reliably predicted.
No agent may place a trade. Nothing happens unless the Owner places it personally.

VETO ON PRICE — STRONGEST CANDIDATE

Price today

\$212.75

Our fair value

\$95-160

Times fair value

2.2x

Fall from high

-30%

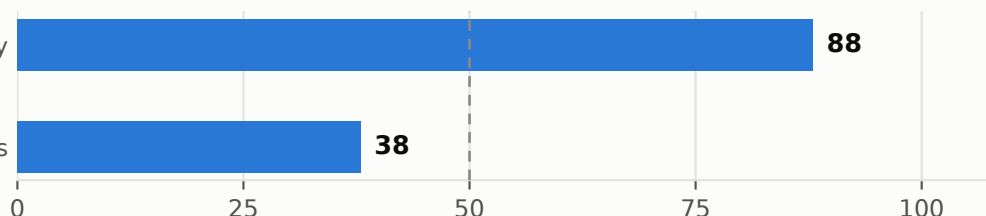
The best business we found: a genuine wide-moat monopoly in chip inspection, ~43% returns on capital even at the bottom of its cycle. Only the price is wrong.

THE TWO SCORES

Judged separately, so a good company at a bad price is never recorded as a bad company.

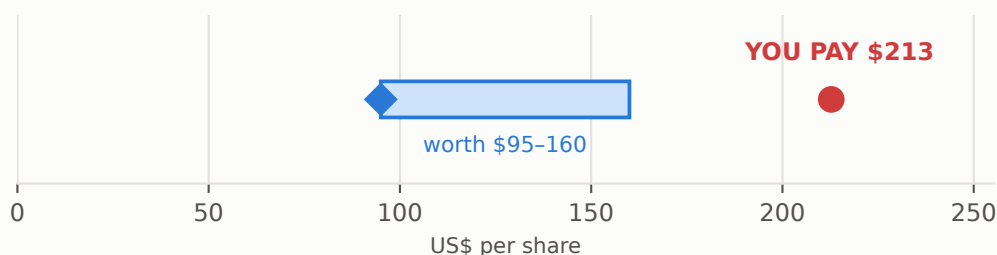
Business quality

Price attractiveness



THE PRICE GAP

Blue = what it's worth.
Red = what it costs.



WHAT'S GOOD

- The ONLY name in the batch with a WIDE and WIDENING moat: ~56-63% of process control, over 85% of optical inspection, and still gaining share.
- Returns are extraordinary and durable: ~43% average ROIC, and still ~25% at the WORST point of the cycle — about 2x its cost of capital in its worst year.
- Highest financial score in the firm's coverage: 91/100, grade A. Interest covered 15-18x; 'effectively bulletproof'.
- 17 consecutive annual dividend increases; \$7B buyback on top of an existing \$5B programme.
- Held up far better in the July selloff (-18 to -30%) than Micron (-33%) or Marvell (-43%) — real relative strength.

WHAT'S WRONG

- At ~42x forward and ~61x trailing earnings, it trades at roughly TWICE its own historical multiple of ~22x.
- Fair value \$95-160 against a \$212.75 price — the 30% fall is off a bubble peak, not into value.
- The CRO's warning: a wide moat protects the business, not the multiple. A de-rate to its historic multiple is ~40% even if KLA executes perfectly.
- Equipment is DIRECTLY export-controlled — regulation is a net headwind here, unlike for a fab owner.
- Earnings on 28 July with a ±8% implied move, and no succession plan for a 65-year-old CEO of 20 years.

WHAT WOULD MAKE US LOOK AGAIN

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Watch \$130, then \$95-105.

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WATCH — DO NOT BUY HERE

Price today

\$806.46

Our fair value

\$250-400

Times fair value

2.5x

Fall from high

-34%

Record-breaking numbers — \$18.3B of free cash flow in one quarter, 2026 output sold out — but the price assumes the memory boom never ends.

THE TWO SCORES

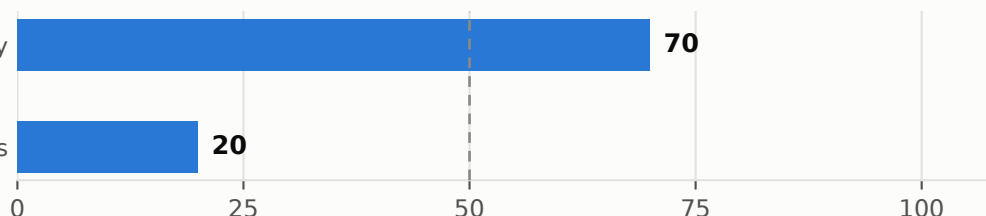
Judged separately, so a good company at a bad price is never recorded as a bad company.

Business quality

70

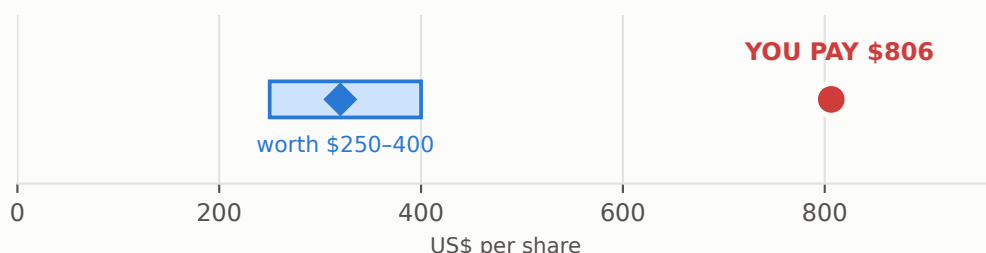
Price attractiveness

20



THE PRICE GAP

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WHAT'S GOOD

- Best numbers in memory-industry history: FQ3 revenue \$41.46B, up 345% year-on-year, with an 84.9% gross margin.
- \$18.3B of free cash flow in ONE quarter; balance sheet flipped to \$24.4B net cash.
- 2026 HBM output completely sold out under 16 take-or-pay contracts claiming ~\$100B of minimum revenue.
- Management (grade A-) has a proven record of cutting supply fast in downturns — they cut capex >40% in 2023.
- Industry desk is OVERWEIGHT memory (60% confidence): AI/HBM demand is real and contract-backed.

WHAT'S WRONG

- Moat is NARROW and unproven through a downturn — memory was historically a no-moat commodity business (2023 ROIC was about -11%).
- Valuation is the killer: fair value \$250-400 vs a \$806 price. The price needs today's 85% margins to last forever.
- China's CXMT is approaching Micron's wafer capacity and will re-commoditise the non-HBM half of the business.
- Insider selling at the highest level since 2010; a celebrity short (Michael Burry) went public at \$1,051.
- The tape is in genuine distribution — 3 straight heavy selling days, closing at the low.

WHAT WOULD MAKE US LOOK AGAIN

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Watch \$780-805 on a close above \$830; deeper \$680-705

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VETOED

Price today

\$188.68

Our fair value

\$55-105

Times fair value

2.7x

Fall from high

-43%

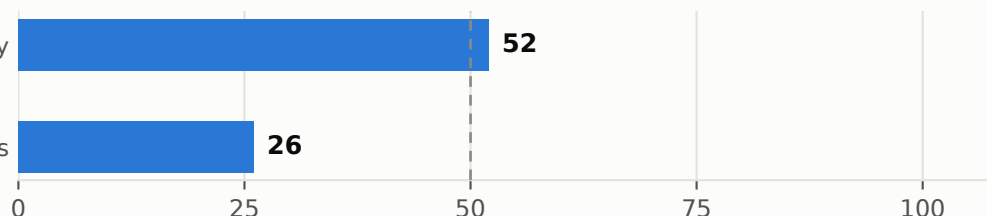
A real AI-chip grower, but the number two in a duopoly Broadcom dominates, 82% of revenue in ten customers, and it has never earned its cost of capital.

THE TWO SCORES

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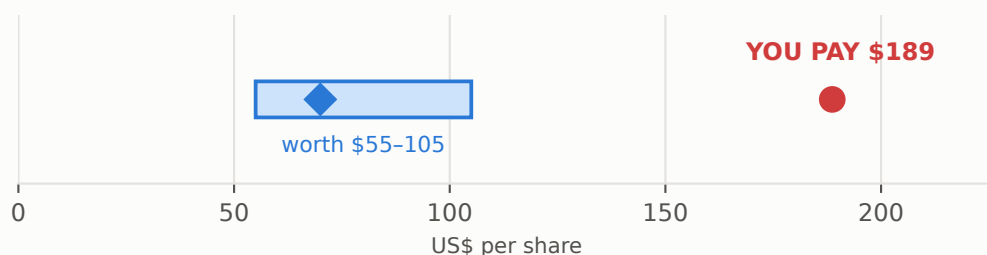
Business quality

Price attractiveness



THE PRICE GAP

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Red = what it costs.



WHAT'S GOOD

- Genuine AI inflection: FY26 revenue \$8.195B (+42%); data centre is now 76% of the business.
- Rebuilt win slate — a new Google 'Merope' inference chip worth up to \$12B over its life, plus Microsoft Maia 300 and an Amazon Trainium 4 variant.
- The optics franchise is the real moat: ~60-70% share of 400G+ optical DSPs, held through a technology transition.
- Management (B+) allocated capital well — sold the auto-Ethernet unit for \$2.5B cash and bought back stock near the lows.
- Balance sheet is safe: \$3.84B cash vs \$4.96B of laddered fixed-rate debt, interest covered ~7x.

WHAT'S WRONG

- Has NEVER earned its cost of capital including the goodwill from Inphi/Cavium — roughly 6% GAAP ROIC.
- Custom-chip 'lock-in' lasts one generation, not several: Amazon's Trainium 3 compute die went to a cheaper Taiwanese rival.
- Top-10 customers are 82% of revenue — the highest concentration in the firm's coverage.
- Essentially 100% dependent on TSMC for both wafers and packaging, with no owned fabs and no hedge.
- Fair value \$55-105 vs a \$188 price. Even the bull case is 45% below the current price.

WHAT WOULD MAKE US LOOK AGAIN

Watch ~\$70. Needs a third socket NOT to be lost.

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VETO ON PRICE — BUSINESS IMPROVING

Price today

\$91.68

Our fair value

\$22-55

Times fair value

2.8x

Fall from high

-36%

The only one of the five where the business is genuinely getting better — best quarter in 15 years, 18A shipping — but the stock is up 343% and sits above even our own bull case.

THE TWO SCORES

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Business quality

45

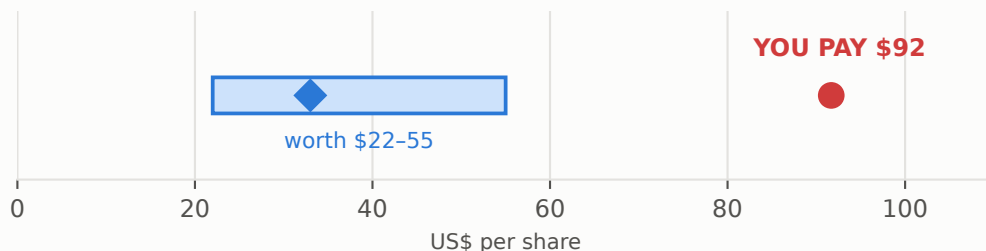
Price attractiveness

14

0 25 50 75 100

THE PRICE GAP

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WHAT'S GOOD

- Q2 2026 was the best quarter in ~15 years: revenue \$16.1B (+25%), non-GAAP earnings double what analysts expected, and the data-centre margin more than doubled to 39.5%.
- 18A — the make-or-break manufacturing process — is real and shipping, running ~25% ABOVE its output target. After a decade of missed roadmaps this is the first hard evidence of recovery.
- External foundry revenue hit \$293M in ONE quarter versus \$307M for ALL of last year — the first sign the factories can sell to outsiders.
- Survival is no longer the question: ~\$16B of capital from the US government (~10% stake), NVIDIA (\$5B) and SoftBank (\$2B). Cash from operations exceeded capital spending in the first half.
- Second-best financial score of the five names analysed, and the only one where the trend is clearly improving rather than peaking.

WHAT'S WRONG

- The stock is up 343% in 52 weeks (\$18.97 to \$91.68) and trades at ~55x earnings and ~7.2x sales — on revenue that is still 33% BELOW its 2021 peak.
- Our own valuation is \$22-55 a share. The price is 9% ABOVE even our deliberately generous bull case of \$84.
- Management's OWN plan for 2030, if delivered in full and on time, is worth only \$39-46 a share today.
- Still ZERO committed external customers for the next-generation 14A process. Decisions are due within two quarters — a genuine coin-flip.
- Market share keeps falling: x86 down from 72.9% to 67.4% in a year, and Arm chips now take ~50% of big-cloud computing, up from 18% two years ago.

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WHAT WOULD MAKE US LOOK AGAIN

Hard price gate: nothing at or above \$45.

VETOED — WEAKEST FILE

Price today

\$214.96

Our fair value

\$35-59

Times fair value

5.1x

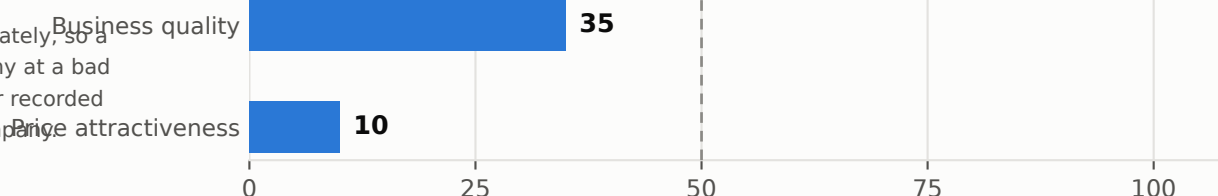
Fall from high

-38%

A real power bottleneck and explosive growth, wrapped around a company that has never earned its cost of capital in 25 years, with ~43% of revenue flowing through a vehicle it CO-OWNS.

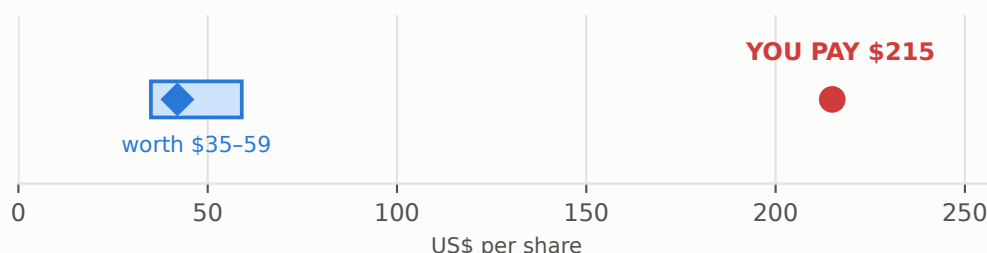
THE TWO SCORES

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WHAT'S GOOD

- The bottleneck is real and datable: grid connection queues now exceed 8 years, and Bloom can deploy on-site power in ~90 days.
- Explosive growth: Q1-2026 revenue \$751.1M, up 130% year-on-year; full-year guidance \$3.4-3.8B.
- Brookfield expanded its financing framework FIVE-FOLD to \$25B (30 June 2026).
- Genuinely excellent balance sheet: no net debt, a 0% coupon, and nothing due until November 2030.
- Policy is a real tailwind — the 30% fuel-cell investment tax credit was restored in law, and federal emissions risk to a gas-fired fleet was cut.

WHAT'S WRONG

- Has NEVER earned its cost of capital in 25 years. ~\$4.8B of lifetime capital raised; FY2025 was a NET LOSS of \$87.1M.
- About 43% of FY2025 revenue ran through joint ventures Bloom CO-OWNS — the moat analyst calls it 'a financing structure being reported as demand'.
- Shareholders diluted ~85% in five years, and \$2.2B of convertible notes are now in the money — more dilution is live.
- Economics are inferior: fuel cells cost \$3,000-6,000/kW versus \$400-800/kW for gas turbines. The advantage is availability, not cost.
- The window closes: GE Vernova's turbine capacity scales through 2029-31, and Bloom is 'the world's best bridge generator — bridges get demolished when the road opens'.

WHAT WOULD MAKE US LOOK AGAIN

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What the firm learned about itself

The AI Auditor checks every department's work. Here is what it caught.

A BAD PRICE FEED WAS CAUGHT AND CORRECTED (Micron)

One analyst reported buyers stepping in at \$850 — from a data source that was simply wrong. The stock had actually closed at its low. The report was failed, corrected and re-issued, and that data provider is now banned firm-wide. Without the check, the trading desk would have had guidance built on an event that never happened.

A REPORT WENT MISSING AND I MIS-LABELLED THE RECORD (Marvell)

The moat analysis failed to save because of a silent error, and I recorded it as filed anyway. Two later reports leaned on it without noticing. The auditor found the file did not exist. It has been re-written and the record corrected.

THE DESK TALKED ITSELF INTO A BEARISH VIEW (KLA)

Three separate mistakes all pushed the same direction — a mislabelled valuation multiple, an earnings estimate 20% below consensus, and a backwards peer comparison — after three straight negative verdicts. The auditor called it narrative lock-in. The work was sent back and redone on honest numbers. The conclusion survived, but was far less extreme.

A FALSE PROFIT FIGURE PASSED FOUR ANALYSTS (Bloom Energy)

The financial report showed a \$6M profit for 2025. The filed figure was an \$87M LOSS. The correct number was sitting in another report in the same package, on the same day, and nobody cross-checked it. The auditor also found the four reports were substantially one analyst's opinion wearing four signatures.

MY OWN SCORING SYSTEM WAS BROKEN (Intel)

The scorecard I designed put about 60% of its weight on one thing — price versus value — so any fairly-priced stock was capped near 40 regardless of quality. It scored Intel 12, below two weaker businesses, on the same day an analyst called Intel the only one of the five that is genuinely improving. The scorecard now has two separate axes, which is the quadrant chart on page 1.

THREE DECISIONS ONLY YOU CAN MAKE

1. How cheap is cheap enough?

Five names, five rejections — and not one was stopped by a risk limit. Every one was stopped by the margin-of-safety rule I wrote and you never approved. If it demands more discount than this market offers, it will keep saying no forever. Your risk officer has escalated this himself.

2. Your targets break your own rule.

The plan sets AI 30% + Technology 20% = 50%, but the risk file caps any single correlated bet at 40%. Either raise the cap, or redefine the sleeves so they aren't the same bet. Escalated five times.

3. The portfolio file is still empty.

No holdings, no cash. Every percentage limit is a fraction of a number nobody knows.